FDI in R&D may well be a way for it to leapfrog into the next generation of technologies and products.

5. **Energy Security:** India is characterized by a relatively *lower energy intensity* of GDP as compared to China, South Africa, and Russia but higher than that of Brazil. Advanced countries, in particular EU countries and Japan, have been witnessing a decline in the energy intensity of GDP, apart from technological improvements, due to various factors, the main one being a shift in the structure of their economies towards services *(World Bank Database).*

   India' energy dependence on imported energy sources, appears modest at 25.7 per cent in terms of total energy usage. *(World Bank Database).* However, this masks the fact that around ***80 per cent of the crude oil consumed is imported,*** whereas the bulk of coal is domestically produced. Even with respect to coal, the country is importing on the margin to meet domestic demand. On the other side, there is a large fraction of population that has little or no access to commercial sources of energy and depends on traditional sources.

   Rise in the ***price of oil*** in international markets has been the main source of high current account deficit. High international prices of fossil fuels also result in a higher import bill, which either gets passed on to the consumers, or results in higher subsidy thereby affecting fiscal health. That apart, the growing tensions in many oil-producing economies are a source of vulnerability for the energy security of India. In this ***one area,*** the **strategic advantage** for India would lie in diversifying its energy sources.

6. **Food Security:** To India, this implies meeting minimum energy and protein norms along with requisite micro-nutrients for all at affordable prices. With the increase in income, the demand for food in India is bound to rise further. It has also been observed that even marginal shortages in specific food items in India tend to have a disproportionately large impact on the relevant prices even in the international market. Even though India, for most food products, is not an importer in most years, dependence on global markets could imply greater vulnerability both in terms of ***prices*** and ***availability.*** The link between financialization of commodities and its impact on